

Statement 6: Expenses and Net Capital Investment

This Statement presents estimates of Australian Government general government sector expenses and net capital investment, disaggregated into various functions and sub-functions of government, on an accrual accounting basis.

Significant areas of expenditure in 2026–27 will be in the **social security and welfare** (37.1 per cent of total expenses in 2026–27), **health** (16.4 per cent of total expenses in 2026–27), **education** (6.9 per cent of total expenses in 2026–27) and **defence** (6.2 per cent of total expenses in 2026–27) functions. Together, these functions account for around two-thirds of all government expenses in 2026–27.

Real growth in expenses over the period 2026–27 to 2029–30 is expected to average 0.8 per cent per year. Significant contributions to real growth over the 4-year period are expected in the **social security and welfare**, **health**, **education**, and **defence** functions.

General government sector expenses are expected to be 26.9 per cent of GDP in 2026–27, easing to 26.6 per cent of GDP in 2029–30. Since MYEFO, expenses have increased by \$14.3 billion in 2026–27 and \$25.4 billion over the four years from 2025–26 to 2028–29. This includes an increase of \$5.0 billion due to policy decisions.

Figures in the tables and text, and the analysis of trends in this Statement, are presented in nominal terms unless otherwise stated.



Statement 6 contents

Overview	219
Payment Estimates.....	222
Estimated expenses by function	225
General government sector expenses	226
General public services	226
Defence	227
Public order and safety.....	228
Education	229
Health.....	230
Social security and welfare.....	232
Housing and community amenities.....	235
Recreation and culture	236
Fuel and energy	237
Agriculture, forestry and fishing	238
Mining, manufacturing and construction.....	238
Transport and communication	239
Other economic affairs	240
Other purposes.....	241
General government net capital investment	244
Reconciliation of net capital investment since the 2025 PEFO	245
Net capital investment estimates by function.....	246
Appendix A: Expense by function and sub-function	248



Statement 6: Expenses and Net Capital Investment

Overview

Australian Government general government sector expenses are expected to increase in nominal terms and real terms over the five years to 2029–30, from \$812.1 billion in 2025–26 to \$933.7 billion in 2029–30, with expenses as a percentage of GDP easing from 26.9 per cent in 2026–27 to 26.6 per cent by 2029–30.

Table 6.1.1: Estimates of general government sector expenses

	MYEFO	Revised	Estimates			
	2025-26	2025-26	2026-27	2027-28	2028-29	2029-30
Total expenses (\$b)	809.2	812.1	833.3	863.7	896.1	933.7
Real growth on						
previous year %(a)	1.5	1.4	-1.3	1.4	1.2	1.7
Per cent of GDP	27.7	27.4	26.9	27.1	26.9	26.6

a) Real growth is calculated using the Consumer Price Index.

Real growth in expenses over the period 2026–27 to 2029–30 is expected to average 0.8 per cent per year. Since MYEFO, total expenses have been revised up by \$14.3 billion in 2026–27 and \$25.4 billion over four years from 2025–26 to 2028–29.

Table 6.1.2 provides a reconciliation of expense estimates between the 2025 PEFO, the 2025–26 MYEFO and the 2026–27 Budget.

Table 6.1.2: Reconciliation of expense estimates

	Estimates				Total
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	
2025 PEFO expenses	785,715	806,539	842,792	889,576	3,324,622
Changes from 2025 PEFO to 2025-26 MYEFO					
Effect of policy decisions(a)	661	1,334	-1,766	-3,755	-3,526
Effect of parameter and other variations	22,856	11,097	12,969	11,639	58,561
Total variations	23,517	12,431	11,204	7,883	55,035
2025-26 MYEFO expenses	809,232	818,970	853,996	897,459	3,379,657
Changes from 2025-26 MYEFO to 2026-27 Budget					
Effect of policy decisions(a)	2,278	6,358	1,157	-4,777	5,016
Effect of economic parameter variations					
Total economic parameter variations	556	4,867	5,863	5,200	16,487
<i>Unemployment benefits</i>	7	776	861	788	2,432
<i>Prices and wages</i>	-19	2,755	4,250	3,979	10,965
<i>Interest and exchange rates</i>	-279	-416	-481	-482	-1,660
<i>GST payments to the States</i>	848	1,752	1,234	916	4,749
Public debt interest	-111	116	261	761	1,027
Program specific parameter variations	2,885	4,235	4,946	4,755	16,821
Other variations	-2,776	-1,284	-2,565	-7,325	-13,950
Total variations	2,831	14,292	9,663	-1,386	25,400
2026-27 Budget expenses	812,063	833,262	863,659	896,074	3,405,057

a) Excludes secondary impacts on public debt interest of policy decisions and offsets from the Contingency Reserve for decisions taken.

In the 2026–27 Budget, policy decisions are estimated to increase expenses by \$5.0 billion over the four years from 2025–26 to 2028–29 compared with the 2025–26 MYEFO.

Economic parameters are estimated to increase expenses by \$16.5 billion over the four years from 2025–26 to 2028–29 compared with the 2025–26 MYEFO, largely reflecting updated parameters for prices, wages and the labour market.

Since the 2025–26 MYEFO, program specific parameter variations (\$16.8 billion), variations associated with public debt interest (\$1.0 billion), and other variations (-\$13.9 billion) have increased expenses by \$3.9 billion over the four years from 2025–26 to 2028–29. More detail about variations in payments, the cash equivalent of accrual-based expenses, can be found in *Statement 3: Fiscal Strategy and Outlook*.

The top 20 expense programs in 2026–27 are presented in Table 6.1.3. These programs represent more than two-thirds of total expenses in 2026–27.

Table 6.1.3: Top 20 programs by expense

Program(a)	Function	Estimates				
		2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Revenue assistance to the States and Territories	Other purposes	102,813	110,302	115,220	121,038	126,595
Support for Seniors	SSW	65,315	68,727	71,651	74,460	77,020
National Disability Insurance Scheme(b)	SSW	53,777	56,124	55,082	55,599	56,239
Aged Care Services	SSW	41,400	43,779	45,250	48,267	50,732
Medical Benefits	Health	35,144	37,563	39,028	40,138	41,474
Assistance to the States for Healthcare Services	Health	33,925	37,474	40,481	43,716	47,205
Commonwealth Debt Management	Other purposes	27,629	31,886	36,921	41,865	46,873
Financial Support for People with Disability	SSW	24,818	26,253	27,283	28,437	29,514
Pharmaceutical Benefits	Health	22,109	23,448	23,847	24,264	23,809
Non-Government Schools National Support	Education	20,568	21,437	22,411	23,449	24,544
Job Seeker Income Support	SSW	17,641	18,304	17,864	17,662	18,069
Support for Families	SSW	17,888	18,148	18,666	18,881	19,204
Child Care Subsidy	SSW	15,618	16,917	18,575	19,860	21,090
Financial Support for Carers	SSW	12,702	13,424	14,160	14,669	15,300
Government Schools National Support	Education	12,440	12,970	13,461	14,023	14,733
Defence Force Superannuation - Benefits(c)	Other purposes; General public services	10,598	10,984	11,452	11,916	12,386
Army Capabilities	Defence	9,823	10,769	11,207	11,979	12,973
Fuel Tax Credits Scheme	Fuel and energy	8,817	10,720	11,400	12,076	12,799
Public Sector Superannuation - Benefits(c)	Other purposes; General public services	9,932	10,588	10,709	10,753	10,822
Air Force Capabilities	Defence	9,637	10,296	10,508	11,492	11,767
Sub-total		552,594	590,114	615,176	644,545	673,148
Other programs		259,469	243,148	248,482	251,529	260,580
Total expenses		812,063	833,262	863,659	896,074	933,727

a) The entry for each program includes eliminations for inter-agency transactions within that program.

b) This program is a combination of agency costs, support for participants and administered expenses.

c) This program is a combination of superannuation nominal interest and accrual expenses.

Payment Estimates

Payment estimates are the cash equivalent of the accrual-based expense estimates.

Government payments are expected to increase in both nominal and real terms over the period 2026–27 to 2029–30, with average annual real growth estimated to be 1.1 per cent. As a percentage of GDP, total payments are expected to be 26.8 per cent in 2026–27 and are projected to decrease to 26.2 per cent by 2029–30.

Table 6.2.1: Estimates of general government sector payments

	MYEFO	Revised	Estimates			
	2025-26	2025-26	2026-27	2027-28	2028-29	2029-30
Total payments (\$b)	786.6	788.1	829.6	853.9	882.8	920.1
Real growth on						
previous year (%) ^(a)	4.5	4.3	1.3	0.7	0.9	1.7
Per cent of GDP	26.9	26.6	26.8	26.8	26.5	26.2

a) Real growth is calculated using the Consumer Price Index.

The top 20 payment programs in 2026–27 are presented in Table 6.2.2. Although broadly similar to the top 20 expense programs, there are some differences in the timing of reporting between payments and expenses, and the reported payment figures include capital investment but exclude depreciation.

Table 6.2.2: Top 20 programs by payment

Program(a)	Function	Estimates				
		2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Revenue assistance to the States and Territories	Other purposes	103,722	110,354	115,221	121,043	126,600
Support for Seniors	SSW	65,402	68,924	71,880	74,369	76,989
National Disability Insurance Scheme(b)	SSW	52,577	55,117	54,680	55,268	55,886
Aged Care Services	SSW	41,384	43,764	44,018	46,841	50,530
Medical Benefits	Health	35,104	37,521	38,999	40,083	41,419
Assistance to the States for Healthcare Services	Health	33,925	37,474	40,481	43,716	47,205
Commonwealth Debt Management	Other purposes	25,220	27,690	34,589	36,226	40,425
Financial Support for People with Disability	SSW	24,877	26,343	27,494	28,433	29,437
Pharmaceutical Benefits	Health	22,266	23,428	23,840	24,256	23,807
Non-Government Schools National Support	Education	20,569	21,437	22,411	23,449	24,544
Job Seeker Income Support	SSW	18,007	18,510	18,101	17,786	18,167
Support for Families	SSW	18,081	18,497	18,920	19,172	19,494
Child Care Subsidy	SSW	15,590	17,109	18,576	19,822	21,059
Financial Support for Carers	SSW	12,723	13,464	14,132	14,673	15,247
Army Capabilities	Defence	12,701	13,076	12,951	14,195	14,706
Government Schools National Support	Education	12,446	12,976	13,464	14,023	14,733
Navy Capabilities	Defence	11,582	12,645	13,020	14,367	15,930
Air Force Capabilities	Defence	9,817	11,081	11,520	12,667	13,449
Public Sector Superannuation - Benefits	General public services	10,223	10,742	11,128	11,540	11,974
Fuel Tax Credits Scheme	Fuel and energy	9,141	10,237	11,302	11,979	12,694
Sub-total		555,357	590,390	616,727	643,906	674,296
Other programs		232,699	239,251	237,140	238,922	245,757
Total payments		788,056	829,640	853,867	882,829	920,052

a) The entry for each program includes eliminations for inter-agency transactions within that program.

b) This program is a combination of agency costs, support for participants and administered expenses.

More detail about variations in payments, the cash equivalent of accrual-based expenses, can be found in *Statement 3: Fiscal Strategy and Outlook*.

Box 6.1: Where does government spending go in 2026–27?

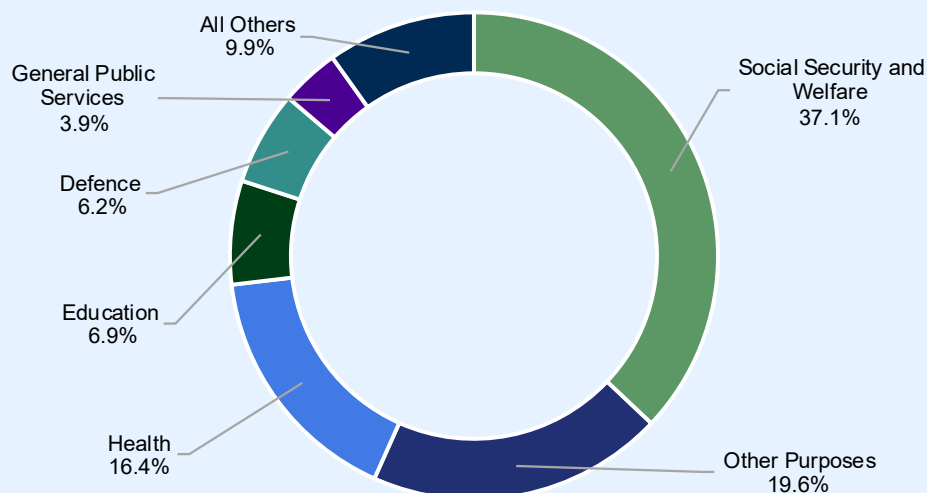
Government spending provides a wide range of services to the community. The most significant component of government spending relates to social security and welfare, with over one-third of total expenses providing support to the aged, families with children, people with disabilities, veterans, carers and unemployed people.

Around a sixth of government expenses occur in health, including spending on the Medicare Benefits Schedule and the Pharmaceutical Benefits Scheme.

The Government also provides significant investment in education, supporting government and non-government schools, as well as higher education and vocational education and training.

Defence is another significant component of government expenditure, providing capability to the Australian Defence Force to protect Australia’s security and defend our national interests.

Chart 6.1: Expenses by function in 2026–27



Further details of spending trends in all functions are set out under individual function headings.

Estimated expenses by function

Estimates of general government sector expenses by function for the period 2025–26 to 2029–30 are set out in Table 6.3.

Table 6.3: Estimates of expenses by function(a)

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
General public services	34,959	32,499	32,796	32,912	32,153
Defence	52,854	52,055	53,840	58,790	61,860
Public order and safety	9,601	9,709	8,405	8,352	8,363
Education	64,974	57,349	59,534	61,552	63,917
Health	127,015	136,918	140,430	144,648	148,915
Social security and welfare	297,805	308,737	315,159	325,203	334,998
Housing and community amenities	8,831	11,454	8,201	7,728	7,829
Recreation and culture	5,984	6,292	6,475	6,459	6,608
Fuel and energy	19,160	15,207	17,586	16,723	17,256
Agriculture, forestry and fishing	4,715	4,748	4,031	3,616	3,441
Mining, manufacturing and construction	5,358	5,563	5,895	5,309	5,624
Transport and communication	16,928	15,338	15,321	15,118	13,217
Other economic affairs	14,669	13,773	12,547	12,310	12,345
Other purposes	149,210	163,622	183,438	197,356	217,203
Total expenses	812,063	833,262	863,659	896,074	933,727

a) The functions are based on an international standard classification of functions of government that is incorporated into the Government Finance Statistics reporting framework.

Further details of spending trends in all functions are set out under individual function headings.

General government sector expenses

General public services

The general public services function accounts for 3.9 per cent of total expenses in 2026–27 and includes expenses to support the organisation and operation of government. These expenses include those relating to the Parliament, the Governor-General, the conduct of elections, the collection of taxes and management of public funds and debt, assistance to developing countries to reduce poverty and achieve sustainable development (particularly countries in the Pacific region), contributions to international organisations and foreign affairs.

Table 6.4: Summary of expenses – general public services

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Legislative and executive affairs	2,105	1,978	2,119	1,769	1,777
Financial and fiscal affairs	10,270	10,437	9,740	10,188	9,766
Foreign affairs and economic aid	10,168	8,326	9,187	8,947	8,650
<i>Foreign aid(a)</i>	5,435	4,556	5,260	5,064	4,720
<i>Other</i>	4,733	3,769	3,927	3,883	3,930
General research	4,557	4,470	4,326	4,385	4,139
General services	1,915	1,379	1,387	1,448	1,490
Government superannuation benefits	5,944	5,909	6,038	6,174	6,331
Total general public services	34,959	32,499	32,796	32,912	32,153

a) Foreign aid figures reflect aid spending by the Department of Foreign Affairs and Trade in accrual terms. This differs from the international measure of aid reporting, Official Development Assistance (ODA), which is in cash terms. Aid spending by other entities is usually reflected in other sub-functions.

Total general public services expenses are estimated to decrease by 1.1 per cent over the period 2026–27 to 2029–30. Expenses for the general public services function are largely driven by **financial and fiscal affairs**, **government superannuation benefits** and **foreign affairs and economic aid**.

Financial and fiscal affairs expenses are expected to decrease over the period 2026–27 to 2029–30. These expenses reflect additional funding in 2025–26 and 2026–27 provided to the Australian Taxation Office for tax compliance programs, such as Phase 2 of the Counter Fraud Program and through the 2026–27 Budget measure *Protecting the tax system against fraud*.

Foreign affairs and economic aid expenses are expected to fluctuate over the period 2026–27 to 2029–30. This largely reflects indexation of Australia's Official Development Assistance funding, partly offset by payment cycles of Australia's contributions under funding arrangements for multilateral funds.

Expenses for **government superannuation benefits** are estimated to increase over the period 2026–27 to 2029–30. In accordance with accounting standards, superannuation expenses for 2025–26 are calculated using the long-term government bond rate that best matched each individual scheme’s duration of liabilities at the start of the financial year. These rates are between 3.8 and 5.0 per cent per year. In preparing the latest Long Term Cost Reports, the scheme actuaries have determined that a discount rate of 5.0 per cent should be applied in the budget year and forward estimates.

Defence

The defence function accounts for 6.2 per cent of total expenses in 2026–27 and includes expenses incurred by the Department of Defence (Defence) and other agencies that support:

- Australian military operations
- national defence, through strategic policy advice and the delivery of capabilities to achieve an integrated and focused force, harnessing effects across the maritime, land, air, space, and cyber domains.

The defence function does not include expenses incurred by the Department of Veterans’ Affairs, superannuation payments to retired military personnel, related nominal superannuation interest, and housing assistance provided through Defence Housing Australia. These expenses are reported in the social security and welfare, general public services, other purposes, and housing and community amenities functions, respectively.

Table 6.5: Summary of expenses – defence

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Defence	52,854	52,055	53,840	58,790	61,860
Total defence	52,854	52,055	53,840	58,790	61,860

Total expenses for the **defence** sub-function are estimated to increase by 18.8 per cent over the period 2026–27 to 2029–30. This growth reflects the increased funding provided through the 2026–27 Budget measure *2026 National Defence Strategy and Integrated Investment Program* to enhance Defence capability, preparedness and resilience, as well as the continuing impacts of the 2024–25 Budget measure *2024 National Defence Strategy and Integrated Investment Program*.

Public order and safety

The public order and safety function accounts for 1.2 per cent of total expenses in 2026–27 and includes expenses to support the administration of the federal legal system and the provision of legal services, including legal aid, to the community. Public order and safety expenses also include law enforcement, border protection and intelligence activities, and the protection of government property.

Table 6.6: Summary of expenses – public order and safety

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Courts and legal services	2,156	2,228	2,050	2,033	2,072
Other public order and safety	7,444	7,481	6,355	6,319	6,291
<i>Policing and law enforcement</i>	5,321	5,377	4,727	4,634	4,560
<i>Border Protection</i>	2,124	2,104	1,628	1,685	1,732
Total public order and safety	9,601	9,709	8,405	8,352	8,363

Total expenses for public order and safety are estimated to decrease by 13.9 per cent over the period 2026–27 to 2029–30, largely due to a reduction in expenses for the **other public order and safety** sub-function by the end of the forward estimates, after an increase in 2025–26 and 2026–27 as a result of time-limited funding.

The profile of **other public order and safety** expenses reflects increased funding in 2025–26 and 2026–27, and is higher each year over the forward estimates than at the 2025–26 Budget. This includes funding for the Government response to the antisemitic Bondi terrorist attack and law enforcement and intelligence agencies for firearm-related reforms, and supplementary funding in 2026–27 to sustain law enforcement, intelligence capabilities, and protective security services for parliamentarians and high office holders. In addition, and consistent with longstanding practice, supplementary funding is provided to the Australian Border Force annually for border protection activities based on operational requirements, with supplementary funding of \$270.0 million in 2026–27 bringing total border protection funding in 2026–27 to \$2.1 billion.

Education

The education function accounts for 6.9 per cent of total expenses in 2026–27 and includes expenses to support the delivery of education services through higher education institutions, vocational education and training providers (including technical and further education institutions), and government (state and territory) and non-government schools.

Table 6.7: Summary of expenses – education

Sub-function	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Higher education	12,040	12,657	13,108	13,616	14,198
Vocational and other education	2,749	2,902	2,830	2,459	2,121
Schools	33,009	34,408	35,872	37,471	39,277
Non-government schools	20,568	21,437	22,411	23,449	24,544
Government schools	12,440	12,970	13,461	14,023	14,733
School education - specific funding	945	936	867	802	740
Student assistance	15,880	6,095	6,530	6,889	7,263
General administration	352	351	327	315	318
Total education	64,974	57,349	59,534	61,552	63,917

Total education expenses are estimated to increase by 11.5 per cent over the period 2026–27 to 2029–30.

Higher education expenses are estimated to increase over the period 2026–27 to 2029–30, primarily driven by growth in funding for Commonwealth supported study places at universities, including funding to better support students from under-represented backgrounds and those studying at regional campuses.

Vocational and other education expenses are estimated to decrease over the period 2026–27 to 2029–30. This reflects the profile of government investment in vocational education and training under the 5-year *National Skills Agreement*, which commenced on 1 January 2024, and is currently due to end on 31 December 2028. Funding for the next National Skills Agreement will be subject to future negotiations with the states and territories.

Non-government schools and **government schools** expenses are both estimated to increase over the period 2026–27 to 2029–30 due to the Commonwealth's increased funding for government schools through bilateral agreements under the new *Better and Fairer Schools Agreement*. Increases in expenses are also due to an increase in the number of students that are eligible to attract a 'student with disability' loading and growth in general non-government school student enrolments.

Student assistance expenses are estimated to increase over the period 2026–27 to 2029–30, primarily driven by growth in student numbers and payment indexation in line with inflation forecasts. This follows a peak in expenses in 2025–26 resulting from the one-off 20.0 per cent reduction on the outstanding balance of student loan debts announced in the 2024–25 MYEFO measure *Building Australia's Future – A fairer deal for students*.

Health

The health function accounts for 16.4 per cent of total expenses in 2026–27 and includes expenses relating to medical services funded through Medicare, payments to the states and territories to deliver essential health services (including public hospitals), the Pharmaceutical Benefits and Repatriation Pharmaceutical Benefits Schemes, the Private Health Insurance Rebate, Aboriginal and Torres Strait Islander health programs, mental health services, and health workforce initiatives.

Table 6.8: Summary of expenses – health

Sub-function	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Medical services and benefits(a)	44,768	47,199	48,101	49,186	50,578
Pharmaceutical benefits and services(b)	23,318	24,636	24,885	25,310	24,840
Assistance to the states for public hospitals	33,925	37,498	40,508	43,743	47,205
Hospital services(c)	1,220	1,559	1,323	1,221	1,235
Health services	16,796	19,106	19,216	18,926	18,701
General administration	5,691	5,490	5,054	4,977	5,037
Aboriginal and Torres Strait Islander health	1,297	1,431	1,343	1,285	1,320
Total health	127,015	136,918	140,430	144,648	148,915

a) A further breakdown of the medical services and benefits sub-function is provided in Table 6.8.1.

b) A further breakdown of the pharmaceutical benefits and services sub-function is provided in Table 6.8.2.

c) The hospital services sub-function predominantly reflects Commonwealth funding to the states and territories for veterans' hospital services.

Expenses for the health function are expected to increase by 8.8 per cent over the period 2026–27 to 2029–30. Increases in expenses in the health function are largely driven by **assistance to the states for public hospitals** and **medical services and benefits**. Expenses for the remaining sub-functions are expected to remain relatively stable over the period 2026–27 to 2029–30.

Medical services and benefits expenses, which primarily consist of medical benefits and private health insurance expenses, account for 34.5 per cent of total estimated health expenses in 2026–27. These expenses are expected to increase over the period 2026–27 to 2029–30, largely driven by growth in the Medical Benefits program, partly as a result of the 2026–27 Budget measure *Strengthening Medicare*. This increase is partly offset by savings achieved through the 2026–27 Budget measure *Modernising Private Health*.

Table 6.8.1 sets out the major components of the **medical services and benefits** sub-function.

Table 6.8.1: Trends in the major components of the medical services and benefits sub-function expense

Component(a)	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Medical benefits	35,144	37,563	39,028	40,138	41,474
Private health insurance	7,861	7,897	7,404	7,457	7,510
General medical consultations and services	720	708	621	587	566
Dental services(b)	374	335	333	332	333
Other	669	697	716	672	695
Total	44,768	47,199	48,101	49,186	50,578

a) The entry for each component includes eliminations for inter-agency transactions within that component.

b) Payments under the funding agreements on Public Dental Services for Adults from 2020–21 are provided for under the health services sub-function in Table 6.8.

Pharmaceutical benefits and services expenses, primarily the Pharmaceutical Benefits Scheme (PBS), account for 18.0 per cent of total estimated health expenses in 2026–27. Expenses are expected to remain stable over the period 2026–27 to 2029–30, driven by policy decisions to list new medicines on the PBS, as well as updates to program rules and indexation. The expenses profile shows a reduction in estimated expenses for vaccinations over time, reflecting the higher initial uptake of new vaccines.

Table 6.8.2 sets out the major components of the **pharmaceutical benefits and services** sub-function.

Table 6.8.2: Trends in the major components of the pharmaceutical benefits and services sub-function expense

Component(a)	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Pharmaceutical benefits, services and supply	22,127	23,461	23,860	24,277	23,809
Immunisation	738	789	633	652	653
Veterans' pharmaceutical benefits	453	386	392	381	377
Total	23,318	24,636	24,885	25,310	24,840

a) The entry for each component includes eliminations for inter-agency transactions within that component.

The Government's contribution to public hospitals is reported through the **assistance to the states for public hospitals** sub-function. Hospital services covered by this sub-function include all admitted services, programs that deliver hospital services in the home, and emergency department services. Expenses for this sub-function are expected to increase significantly over the period from 2026–27 to 2029–30, reflecting the Government's agreement with the states and territories under the *Addendum to the National Health Reform Agreement 2026–2031*.

Health services include expenses associated with the delivery of medical research, mental health, blood and blood products, disbursements from the Medical Research Future Fund, preventive health, and health protection. Expenses are expected to decrease over the period 2026–27 to 2029–30. This reflects that increases in estimated expenses for blood and blood products are largely offset by the scheduled end of some national partnership agreements and certain preventive health and chronic disease measures, which will be considered in a future economic update, with the future of national partnership agreements subject to future negotiations with states and territories.

Social security and welfare

The social security and welfare function accounts for 37.1 per cent of total expenses in 2026–27 and includes expenses for pensions and services to the aged, assistance to the unemployed and the sick, people with disabilities and families with children, and income support and compensation for veterans and their dependants. It also includes assistance provided to Indigenous Australians that is not elsewhere classified (nec).

Table 6.9: Summary of expenses – social security and welfare

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Assistance to the aged(a)	109,975	115,601	119,668	125,355	130,325
Assistance to veterans and dependants	13,431	11,366	12,374	14,093	14,405
Assistance to people with disabilities(b)	93,358	98,143	98,768	100,942	103,356
Assistance to families with children(c)	51,750	53,863	55,186	56,979	58,794
Assistance to the unemployed and the sick	17,641	18,304	17,864	17,662	18,069
Other welfare programs	1,801	1,853	2,198	2,197	2,205
Assistance for Indigenous Australians nec	3,938	3,540	3,446	3,169	3,121
General administration	5,912	6,067	5,655	4,805	4,722
Total social security and welfare	297,805	308,737	315,159	325,203	334,998

a) A further breakdown of the assistance to the aged sub-function is provided in Table 6.9.1.

b) A further breakdown of the assistance to people with disabilities sub-function is provided in Table 6.9.2.

c) A further breakdown of the assistance to families with children sub-function is provided in Table 6.9.3.

Expenses in social security and welfare are estimated to increase by 8.5 per cent over the period 2026–27 to 2029–30. The largest movements in expenses are expected to occur in **assistance to people with disabilities, assistance to the aged** and **assistance to families with children**. Expenses for the remaining sub-functions are estimated to slightly increase over the period 2026–27 to 2029–30.

Assistance to the aged expenses are estimated to increase over the period 2026–27 to 2029–30, driven by increases in expenditure in the Support for Seniors and Aged Care Services programs.

Table 6.9.1 sets out the major components of the **assistance to the aged** sub-function.

Table 6.9.1: Trends in the major components of the assistance to the aged sub-function expense

Component(a)	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Support for seniors	65,315	68,727	71,651	74,460	77,020
Aged care services	41,400	43,779	45,250	48,267	50,732
Veterans' community care and support	1,427	1,434	1,447	1,410	1,301
Aged care quality	435	382	233	233	243
Access and information	839	782	746	779	821
National Partnership Payments – Assistance to the aged	172	148	154	17	17
Other	387	347	186	188	191
Total	109,975	115,601	119,668	125,355	130,325

a) The entry for each component includes eliminations for inter-agency transactions within that component.

Increases in the Support for Seniors program over the period reflects higher indexation expectations. Growth in this program has been partly moderated through the 2025–26 MYEFO measure *Resetting Social Security Deeming Rates* by returning to the practice of updating the social security deeming rates on financial assets to reflect market returns.

Growth in the Aged Care Services program is primarily driven by the expanding ageing population, rising demand for aged care services, and increased funding for aged care workers' wages following the Fair Work Commission's Aged Care Work Value case decisions. This growth in estimated expenses also reflects the implementation of aged care reforms from 1 November 2025, including the Support at Home program. Growth in estimated expenses has been moderated by recent increases in means-tested contributions for people entering residential aged care and a participant contribution framework for the Support at Home program.

Assistance to people with disabilities expenses are expected to increase over the period 2026–27 to 2029–30, reflecting increases in support costs, and continued growth in Disability Support Pension recipient numbers and average payment rates. Reforms included in the 2026–27 Budget measure *Securing the National Disability Insurance Scheme for Future Generations* moderate the growth in estimated NDIS expenditure over the four years to 2029–30, with further moderation over the medium-term in line with the National Cabinet's commitment to target annual growth at or below five to 6.0 per cent.

Table 6.9.2 sets out the major components of the **assistance to people with disabilities** sub-function.

Table 6.9.2: Trends in the major components of the assistance to people with disabilities sub-function expense

Component(a)	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
National Disability Insurance Scheme(b)	53,778	56,125	55,082	55,599	56,239
National Disability Insurance Scheme – quality and safeguards	167	208	150	157	157
Financial support for people with disability	26,209	27,566	28,593	29,780	30,889
Financial support for carers	13,180	13,960	14,663	15,126	15,791
National Partnership Payments – Assistance to people with disabilities	24	285	280	280	280
Total	93,358	98,143	98,768	100,942	103,356

a) The entry for each component includes eliminations for inter-agency transactions within that component.

b) Includes both Commonwealth and state contributions to the cost of the NDIS delivered through the National Disability Insurance Agency and the cost of the NDIS program administered by the Department of Health, Disability and Ageing.

Assistance to families with children expenses are expected to increase over the period 2026–27 to 2029–30 largely due to increases in expenditure related to the Child Care Subsidy. This largely reflects increases to the cost of care due to the Fair Work Commission's Gender-based undervaluation priority review, specifically the determination regarding the *Children's Services Award 2010*.

Table 6.9.3 sets out the major components of the **assistance to families with children** sub-function.

Table 6.9.3: Trends in the major components of the assistance to families with children sub-function expense

Component(a)	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Family assistance	22,030	22,848	23,619	24,071	24,585
Child care subsidy	15,761	17,021	18,634	19,894	21,090
Parents income support	8,351	8,688	8,884	9,210	9,483
Child support	2,117	2,163	2,200	2,242	2,286
Support for the child care system	2,318	1,640	401	331	332
Families and children	863	1,210	1,153	927	708
Family relationship services	285	275	277	285	292
Other	24	19	18	19	17
Total	51,750	53,863	55,186	56,979	58,794

a) The entry for each component includes eliminations for inter-agency transactions within that component.

Expenses for **assistance to the unemployed and the sick** are estimated to remain broadly stable over the period 2026–27 to 2029–30, reflecting a return to the long-run average of JobSeeker Payment recipients.

Housing and community amenities

The housing and community amenities function accounts for 1.4 per cent of total expenses in 2026–27 and includes expenses for the Government’s contribution to the *National Agreement on Social Housing and Homelessness*, other Australian Government housing programs, the expenses of Defence Housing Australia, urban and regional development programs and environmental protection initiatives.

Table 6.10: Summary of expenses – housing and community amenities

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Housing	4,374	7,213	5,401	5,176	5,867
Urban and regional development	2,056	1,614	912	1,193	686
Environment protection	2,401	2,627	1,888	1,359	1,277
Total housing and community amenities	8,831	11,454	8,201	7,728	7,829

Expenses for housing and community amenities fluctuate over the forward estimates and are expected to decrease by 31.6 per cent over the period 2026–27 to 2029–30, primarily driven by fluctuations in expenses for **housing**.

Housing expenses include the provision of social and affordable housing for the general public and people with special needs, support for housing related infrastructure aimed at increasing supply, Defence Housing Australia expenses and the Government’s contribution of \$9.3 billion over five years from 2024–25 for the *National Agreement on Social Housing and Homelessness*, which supports states and territories to provide social housing and homelessness services.

Expenses are estimated to fluctuate between 2025–26 and 2029–30, primarily reflecting the expected timing of grant payments under the Housing Australia Future Fund (HAFF) Crisis and Transitional Accommodation program and the accounting treatment of concessional loan discounts for the HAFF Social and Affordable program.

The Government will invest \$2.0 billion over four years from 2026–27 through the Housing Support Program – Local Infrastructure Fund, part of the 2026–27 Budget measure *Boosting Home Ownership*, to provide funding through states and territories (states) to support local governments and state utility providers to expedite delivery of housing enabling infrastructure. To date, the Government has also entered into agreements with states to release \$829 million in grants funding over five years from 2025–26 under the 100,000 New Homes for First Homebuyers program.

Expenses for **urban and regional development** comprise urban development, services to territories, and regional development programs. Expenses are estimated to decrease over the period 2026–27 to 2029–30, primarily reflecting the profile of funding for the Priority Community Infrastructure Program, the Investing in Our Communities Program and the conclusion of the final grants under the Community Development Grants Programme. The decrease is partially offset by the 2026–27 Budget measure *Community Infrastructure*.

Environment protection expenses comprise a variety of initiatives, including the protection and conservation of the environment, water and waste management, pollution abatement and environmental research. Expenses are estimated to decrease over the period 2026–27 to 2029–30, primarily due to impacts of the 2026–27 Budget measure *Climate Change, Energy, the Environment and Water – savings*, and the planned termination of the Critical Inputs to Clean Energy Industries program from 2026–27.

Recreation and culture

The recreation and culture function accounts for 0.8 per cent of total expenses in 2026–27 and includes expenses to support public broadcasting and cultural institutions, funding for the arts and the film industry, assistance to sport and recreation activities, as well as the management and protection of national parks and other world heritage areas. This function also includes expenses relating to the protection and preservation of historic sites and buildings.

Table 6.11: Summary of expenses – recreation and culture

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Broadcasting	1,857	1,897	1,909	1,940	1,971
Arts and cultural heritage	2,329	2,344	2,325	2,278	2,309
Sport and recreation	939	1,229	1,402	1,396	1,490
National estate and parks	859	821	839	845	838
Total recreation and culture	5,984	6,292	6,475	6,459	6,608

Total expenses under the recreation and culture function are estimated to increase by 5.0 per cent over the period 2026–27 to 2029–30. This is primarily driven by an increase in **sport and recreation** expenses, reflecting the Government’s investment in venue infrastructure for the 2032 Brisbane Olympic and Paralympic Games.

Broadcasting expenses reflect the 5-year funding terms for the Australian Broadcasting Corporation and Special Broadcasting Service Corporation that commenced on 1 July 2023, and include expenses for both general operational activities and transmission and distribution services.

Expenses under **arts and cultural heritage** are estimated to remain broadly stable over the period 2026–27 to 2029–30. The expenditure mainly reflects estimated payments by Creative Australia and under the Australian Screen Production Incentive.

National estate and parks expenses are estimated to remain broadly stable over the period 2026–27 to 2029–30, reflecting additional investment through the 2026–27 Budget measures *Oceans Leadership Package – Australian Marine Parks and marine parks management* and *Protecting and Restoring the Great Barrier Reef – continuing funding*.

Fuel and energy

The fuel and energy function accounts for 1.8 per cent of total expenses in 2026–27 and includes expenses for the Fuel Tax Credits and Product Stewardship for Oil schemes administered by the Australian Taxation Office. It also includes expenses related to improving Australia’s energy efficiency, resource related initiatives, and programs to support the production and use of renewable energy.

Table 6.12: Summary of expenses – fuel and energy

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Fuel and energy	19,160	15,207	17,586	16,723	17,256
<i>Fuel Tax Credits Scheme</i>	8,817	10,720	11,400	12,076	12,799
<i>Resources and energy</i>	6,147	2,606	2,353	2,257	2,672
<i>Renewable energy</i>	3,761	1,464	3,504	2,080	1,511
<i>Other</i>	435	416	329	309	275
Total fuel and energy	19,160	15,207	17,586	16,723	17,256

Total fuel and energy expenses are estimated to increase by 13.5 per cent over the period 2026–27 to 2029–30.

Expenses for the **fuel tax credits scheme**, are expected to increase over the period 2026–27 to 2029–30. This follows subdued expenditure in 2025–26 and 2026–27, primarily due to more than halving the fuel excise and reducing the heavy vehicle road user charge to zero for three months from 1 April 2026. Expenses are expected to continue increasing from 2027–28 to 2029–30 largely reflecting an expected increase in the use of fuels that are eligible for the Fuel Tax Credits Scheme.

Resources and energy expenses are expected to peak in 2025–26 before returning to a stable level from 2026–27. The peak in 2025–26 is attributable to the 2025–26 Budget measure *Energy Bill Relief Fund Extension* and a strong uptake of the 2025 PEFO measure *Cheaper Home Batteries Program*.

Expenses for **renewable energy** are expected to fluctuate over the period 2025–26 to 2029–30 reflecting the profile of expenses for the concessional component of the concessional loan deployment by the Clean Energy Finance Corporation.

Agriculture, forestry and fishing

The agriculture, forestry and fishing function accounts for 0.6 per cent of total expenses in 2026–27 and includes expenses to support assistance to primary producers, forestry, fishing, land and water resources management, biosecurity services, and contributions to research and development.

Table 6.13: Summary of expenses – agriculture, forestry and fishing

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Wool industry	56	73	79	84	84
Grains industry	329	387	394	421	423
Dairy industry	59	58	57	57	57
Cattle, sheep and pig industry	314	326	311	301	289
Fishing, horticulture and other agriculture	613	551	487	401	403
General assistance not allocated to specific industries	53	65	50	51	52
Rural assistance	443	434	427	358	278
Natural resources development	1,299	1,336	742	446	338
General administration	1,550	1,518	1,485	1,496	1,517
Total agriculture, forestry and fishing	4,715	4,748	4,031	3,616	3,441

Total expenses for agriculture, forestry and fishing are estimated to decrease by 27.5 per cent over the period 2026–27 to 2029–30. The expected decrease largely reflects the reduction in **natural resources development** primarily due to the schedule of water reform activities to deliver the Murray–Darling Basin Plan 2012 by the 31 December 2027 deadline set out in the *Water Amendment (Restoring Our Rivers) Act 2023*.

Mining, manufacturing and construction

The mining, manufacturing and construction function accounts for 0.7 per cent of total expenses in 2026–27 and includes expenses for programs designed to promote the efficiency and competitiveness of Australian industries. The major components include the Research and Development Tax Incentive and industry assistance programs.

Table 6.14: Summary of expenses – mining, manufacturing and construction

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Mining, manufacturing and construction	5,358	5,563	5,895	5,309	5,624
<i>Research and development tax Incentive</i>	4,227	4,535	4,762	3,310	3,408
<i>Growing business investment</i>	218	218	108	401	424
<i>Northern Australia Infrastructure Facility</i>	62	60	83	95	126
<i>Other</i>	851	750	942	1,502	1,667
Total mining, manufacturing and construction	5,358	5,563	5,895	5,309	5,624

Total expenses for mining, manufacturing and construction are expected to remain relatively stable from 2026–27 to 2029–30.

Expenses for the **research and development tax incentive** component are expected to increase over the period 2025–26 to 2027–28 due to increases in the number and value of expected claims from eligible companies, before decreasing in 2028–29 and 2029–30 as a result of the 2026–27 Budget measure *Tax Reform – better targeting the Research and Development Tax Incentive*.

Expenses under the **other** component are expected to increase significantly over the period 2026–27 to 2029–30, largely driven by the Critical Minerals Production Tax Incentive, commencing from 2027–28.

Transport and communication

The transport and communication function accounts for 1.8 per cent of total expenses in 2026–27 and includes expenses to support the infrastructure and regulatory framework for Australia’s transport and communication sectors. Expenses for the transport and communication function primarily reflect the Government’s investment in road and rail transport through the Infrastructure Investment Program. This function also includes expenditure for communications activities and support for the digital economy through the Department of Infrastructure, Transport, Regional Development, Communications, Sport and the Arts, and the Australian Communications and Media Authority.

Table 6.15: Summary of expenses – transport and communication

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Communication	1,223	1,268	1,042	967	949
Rail transport	5,031	2,708	2,536	2,922	3,922
Air transport	534	426	325	350	292
Road transport	9,138	9,935	10,525	10,004	7,246
Sea transport	646	654	589	593	548
Other transport and communication	357	348	304	282	260
Total transport and communication	16,928	15,338	15,321	15,118	13,217

Total expenses under this function are estimated to decrease by 13.8 per cent over the period 2026–27 to 2029–30, with movements in the function largely reflecting the timing of priority infrastructure projects under the Infrastructure Investment Program.

Communication expenses are estimated to decrease over the period 2025–26 to 2029–30, primarily reflecting the funding profile for the *Better Connectivity Plan for Regional and Rural Australia*.

Rail transport expenses are estimated to decrease from 2025–26 to 2027–28 before increasing in 2028–29 and 2029–30, reflecting the delivery schedules for major rail infrastructure projects, including Suburban Rail Loop East, projects under the METRONET program and Melbourne Airport Rail Link.

Road transport expenses are estimated to increase from 2025–26 to 2027–28 before decreasing in 2028–29 and 2029–30, reflecting investment in priority road infrastructure projects and realignment of funding to more accurately reflect project delivery schedules.

Other economic affairs

The other economic affairs function accounts for 1.7 per cent of total expenses in 2026–27 and includes expenses on tourism and area promotion, labour market assistance, immigration, industrial relations, and other economic affairs not elsewhere classified (nec).

Table 6.16: Summary of expenses – other economic affairs

Sub-function	Estimates				
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Tourism and area promotion	198	189	182	179	183
Vocational and industry training	2,476	1,873	1,653	1,681	1,674
Labour market assistance to job seekers and industry	2,559	2,817	2,688	2,720	2,698
Industrial relations	1,088	1,077	1,065	1,047	1,053
Immigration	4,536	3,993	3,313	3,246	3,300
<i>Management of unlawful non-citizens</i>	2,186	1,828	1,605	1,634	1,669
<i>Citizenship, visas and migration</i>	1,134	1,162	895	829	833
<i>Regional co-operation and refugee and humanitarian assistance</i>	1,217	1,002	814	784	798
Other economic affairs nec	3,811	3,825	3,647	3,437	3,438
Total other economic affairs	14,669	13,773	12,547	12,310	12,345

Total expenses for other economic affairs are estimated to decrease by 10.4 per cent over the period 2026–27 to 2029–30 largely reflecting forecast reductions in expenses for **immigration** and **other economic affairs nec**.

Vocational and industry training expenses are estimated to decrease over the period 2026–27 to 2029–30, primarily reflecting reforms to the Australian Apprenticeship Incentive System in line with the *Strategic Review of the Australian Apprenticeship Incentive System*. The decrease is partially offset by additional support the Government is providing to apprentices and their employers through the 2025–26 Budget measure *Building Australia's Future – Increased Support for Apprentices*, which commenced 1 July 2025 to provide targeted incentives to boost apprenticeship commencements in critical construction occupations.

The **immigration** sub-function includes the provision of migration and citizenship services, the management of unlawful non-citizens, regional cooperation, and refugee and humanitarian assistance. **Immigration** expenses are expected to decrease over the period 2026–27 to 2029–30, primarily reflecting forecast reductions in the transitory population in the offshore processing centre, and persons accessing migrant and humanitarian services.

Expenses for **other economic affairs nec** are expected to decrease over the period 2026–27 to 2029–30, reflecting a decrease in departmental expenses for programs with terminating funding.

Other purposes

The other purposes function accounts for 19.6 per cent of total expenses in 2026–27 and includes expenses incurred in the servicing of public debt interest and assistance to state, territory and local governments. This function also includes expenses related to natural disaster relief, the contingency reserve, and the nominal interest on unfunded liabilities for government superannuation benefits.

Table 6.17: Summary of expenses – other purposes

Sub-function	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
Public debt interest	27,629	31,886	36,921	41,865	46,873
Nominal superannuation interest	14,803	15,884	16,336	16,708	17,092
General purpose inter-government transactions	107,887	111,062	118,998	124,964	130,674
Natural disaster relief	2,936	865	631	178	129
Contingency reserve	-4,045	3,925	10,552	13,640	22,434
Total other purposes	149,210	163,622	183,438	197,356	217,203

Total expenses for other purposes are estimated to increase by 32.7 per cent over the period 2026–27 to 2029–30.

The main drivers of the increase in other purposes expenses are **general purpose inter-government transactions**, **public debt interest** and the **contingency reserve**.

Public debt interest expenses are expected to increase over the period 2026–27 to 2029–30, largely reflecting higher debt servicing costs. Additional information on government debt is available in *Statement 7: Debt*.

The increase in **nominal superannuation interest** expenses from 2025–26 to 2026–27 primarily reflects the use of updated discount rates. In accordance with accounting standards, superannuation expenses for 2025–26 are calculated using the long-term government bond rate that best matched each individual scheme's duration of liabilities at the start of the financial year. These rates were between 3.8 and 5.0 per cent per year. In preparing the latest Long Term Cost Reports, the scheme actuaries determined that a discount rate of 5.0 per cent should be applied to the estimates in the budget year and forward estimates.

General purpose inter-government transactions expenses are made up of general revenue assistance paid to state and territory governments and local government assistance and are expected to increase over the period 2026–27 to 2029–30. Nearly all these expenses relate to general revenue assistance, largely comprised of payments of GST entitlements provided to state and territory governments on an 'untied' basis. Payments to state and territory governments tied to specific purposes are reported under the relevant functions in this Statement. Further information on general revenue assistance to the states and territories can be found in Budget Paper No. 3, *Federal Financial Relations*.

Expenses for **natural disaster relief** reflect financial support provided by the Australian Government to states and territories under the Disaster Recovery Funding Arrangements. The majority of funding over the period 2026–27 to 2029–30 reflects expected payments to the states and territories in relation to disaster events that have already occurred. As provisions are not generally made for future disasters, the amount reduces over time.

The **contingency reserve** is estimated to increase expenses by \$50.6 billion over the period 2026–27 to 2029–30. Around half of this is the conservative bias allowance, which makes provision for the tendency for the estimate of expenses for existing government policy (excluding GST payments to the states) to be revised upwards in the forward years. The 2026–27 Budget includes a conservative bias allowance provision of:

- nil in the Budget year, 2026–27
- half of a percentage point of total general government sector expenses in the first forward year, 2027–28 (\$3.8 billion)
- 1.0 per cent of general government sector expenses in the second forward year, 2028–29 (\$7.8 billion)
- 2.0 per cent of general government sector expenses in the third forward year, 2029–30 (\$16.3 billion).

The drawdown of the conservative bias allowance decreased expenses by \$1.8 billion in 2026–27, \$1.8 billion in 2027–28, \$3.7 billion in 2028–29 and \$3.2 billion in 2029–30. This is consistent with long standing practice and does not represent a saving or offset to spending measures.

The contingency reserve includes provisions to reflect:

- the Government’s commitment to provide \$1.1 billion over four years from 2026–27 to increase the Accommodation Supplement and additional payments for high supported resident ratios in residential aged care as part of the response to the *Residential Aged Care Accommodation Pricing Review*
- the Government’s commitment to increase Australia’s investment in health and medical research through increased disbursements from the Medical Research Future Fund
- ongoing negotiations with the states and territories on the implementation of the National Gun Buyback Scheme
- the balance of the Government’s commitment to the development of a Defence precinct at Henderson in Western Australia.

In general, the contingency reserve can include:

- commercial-in-confidence and national security-in-confidence items that cannot be disclosed separately
- financial assistance to state and territory governments for future programs and reforms subject to negotiations, including commitments made by National Cabinet such as the establishment of Foundational Supports
- the effect on the budget and forward estimates of economic parameter revisions received late in the process that are not able to be allocated to individual entities or functions
- decisions taken but not yet announced by the Government and decisions made too late for inclusion against individual entity estimates
- provisions for other specific events and policy changes that may impact the budget estimates
- a provision for underspends in the current financial year reflecting the tendency for budgeted expenses for some entities or functions not to be met.

General government net capital investment

Net capital investment is broadly defined as the sale and acquisition of non-financial assets, less depreciation expenses. It provides a measure of the overall growth in capital assets (including buildings and infrastructure, specialist military equipment, and computer software) after taking into account depreciation and amortisation as previously acquired assets age.

Government capital spending involves the acquisition of physical assets and financial assets, and the provision of grants and subsidies to others (primarily state and territory governments), which they then use to acquire assets.

Australian Government general government sector net capital investment is expected to decrease from \$12.0 billion in 2026–27 to \$9.3 billion in 2029–30. This decrease is primarily driven by net capital investments in the general public services and agriculture, forestry and fishing functions.

Details of movements are further explained in the following section.

Table 6.18: Estimates of total net capital investment

	MYEFO	Revised	Estimates			
	2025-26	2025-26	2026-27	2027-28	2028-29	2029-30
Total net capital investment (\$m)	11,173	11,158	11,986	10,181	10,188	9,348
Per cent of GDP	0.4	0.4	0.4	0.3	0.3	0.3

Reconciliation of net capital investment since the 2025 PEFO

A reconciliation of the net capital investment estimates, showing the effect of policy decisions and parameter and other variations since the 2025 PEFO and the 2025–26 MYEFO, is provided in Table 6.19.

Table 6.19: Reconciliation of net capital investment estimates

	Estimates				Total \$m
	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	
2025 PEFO net capital investment	8,774	9,140	12,026	10,196	40,136
Changes from 2025 PEFO to 2025-26 MYEFO					
Effect of policy decisions(a)	609	795	366	103	1,873
Effect of parameter and other variations	1,790	492	-2,413	77	-54
Total variations	2,399	1,287	-2,046	180	1,819
2025-26 MYEFO net capital investment	11,173	10,427	9,980	10,376	41,955
Changes from 2025-26 MYEFO to 2026-27 Budget					
Effect of policy decisions(a)	3	1,667	1,616	-227	3,059
Effect of parameter and other variations	-18	-108	-1,414	39	-1,501
Total variations	-15	1,559	202	-188	1,558
2026-27 Budget net capital investment	11,158	11,986	10,181	10,188	43,513
a) Excludes secondary impacts on public debt interest of policy decisions and offsets from the contingency reserve for decisions taken.					

Estimated net capital investment for 2026–27 is \$2.8 billion higher than estimated in the 2025 PEFO. This consists of an increase of \$2.5 billion due to policy decisions and an increase of \$0.4 billion due to parameter and other variations, over both the 2025–26 MYEFO and the 2026–27 Budget.

Net capital investment estimates by function

Estimates for Australian Government general government sector net capital investment by function for the period 2025–26 to 2029–30 are provided in Table 6.20.

Table 6.20: Estimates of net capital investment by function

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
General public services	332	1,211	1,267	-230	-407
Defence	8,687	9,581	11,120	12,688	14,388
Public order and safety	355	353	111	-158	-207
Education	39	13	8	0	0
Health	388	160	10	3	-4
Social security and welfare	34	-786	-620	-580	-574
Housing and community amenities	-30	297	318	156	-204
Recreation and culture	350	394	261	-113	-137
Fuel and energy	22	-3	-4	-1	4
Agriculture, forestry and fishing	1,074	949	-17	-46	-45
Mining, manufacturing and construction	-7	-10	-21	-36	-39
Transport and communication	-28	-49	-51	-11	-44
Other economic affairs	-51	-70	-13	-170	-327
Other purposes	-7	-54	-2,188	-1,313	-3,056
Total net capital investment	11,158	11,986	10,181	10,188	9,348

A significant component of the Government's net capital investment occurs in the defence function and primarily relates to defence capability investments. Major changes in net capital investment are expected in the following functions:

- **Defence** – the increase in net capital investment from 2026–27 to 2029–30 reflects funding for capability investments prioritised through the 2026–27 Budget measure *2026 National Defence Strategy and Integrated Investment Program*.
- **General public services** – the decrease in net capital investment from 2026–27 to 2029–30, largely reflects the timing of estimated renewal of property leases that are due to expire and the timing of building and equipment purchases and refurbishment.
- **Social security and welfare** – the fluctuations in net capital investment over the period 2025–26 to 2029–30 is largely driven by the depreciation and amortisation of prior Commonwealth investments in Services Australia's assets, including ICT capabilities and infrastructure.
- **Agriculture, forestry and fishing** – the decrease in net capital investment from 2026–27 to 2029–30 reflects the schedule of water purchases to deliver the Murray–Darling Basin Plan 2012 by the 31 December 2027 deadline set out in the *Water Amendment (Restoring Our Rivers) Act 2023*.
- **Other purposes** – the variable profile of net capital investment primarily reflects the provisioning in the contingency reserve for anticipated sales of non-financial assets.

Table 6.21 reports the acquisition of non-financial assets by function before taking into account depreciation or amortisation.

Table 6.21: Australian Government general government sector purchases of non-financial assets by function

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m
General public services	2,273	2,871	2,918	1,412	1,231
Defence	16,155	17,386	19,469	21,698	23,867
Public order and safety	1,194	1,221	976	705	650
Education	58	35	28	22	22
Health	266	214	93	77	51
Social security and welfare	902	467	359	350	331
Housing and community amenities	544	783	878	664	347
Recreation and culture	929	973	842	475	443
Fuel and energy	35	9	8	12	15
Agriculture, forestry and fishing	1,220	1,106	132	99	102
Mining, manufacturing and construction	36	33	24	11	9
Transport and communication	96	73	67	90	49
Other economic affairs	778	773	821	683	519
Other purposes	1	69	45	62	97
General government purchases of non-financial assets	24,487	26,014	26,662	26,360	27,733

Appendix A: Expense by function and sub-function

Table A.6.1: Estimates of expenses by function and sub-function

	Actual	Estimates				
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30
	\$m	\$m	\$m	\$m	\$m	\$m
General public services						
Legislative and executive affairs	2,406	2,105	1,978	2,119	1,769	1,777
Financial and fiscal affairs	10,764	10,270	10,437	9,740	10,188	9,766
Foreign affairs and economic aid	7,488	10,168	8,326	9,187	8,947	8,650
General research	4,346	4,557	4,470	4,326	4,385	4,139
General services	1,748	1,915	1,379	1,387	1,448	1,490
Government superannuation benefits	6,136	5,944	5,909	6,038	6,174	6,331
Total general public services	32,887	34,959	32,499	32,796	32,912	32,153
Defence	47,785	52,854	52,055	53,840	58,790	61,860
Public order and safety						
Courts and legal services	1,944	2,156	2,228	2,050	2,033	2,072
Other public order and safety	6,573	7,444	7,481	6,355	6,319	6,291
Total public order and safety	8,517	9,601	9,709	8,405	8,352	8,363
Education						
Higher education	11,399	12,040	12,657	13,108	13,616	14,198
Vocational and other education	2,325	2,749	2,902	2,830	2,459	2,121
Schools	31,071	33,009	34,408	35,872	37,471	39,277
<i>Non-government schools</i>	<i>19,372</i>	<i>20,568</i>	<i>21,437</i>	<i>22,411</i>	<i>23,449</i>	<i>24,544</i>
<i>Government schools</i>	<i>11,699</i>	<i>12,440</i>	<i>12,970</i>	<i>13,461</i>	<i>14,023</i>	<i>14,733</i>
School education - specific funding	905	945	936	867	802	740
Student assistance	4,848	15,880	6,095	6,530	6,889	7,263
General administration	354	352	351	327	315	318
Total education	50,901	64,974	57,349	59,534	61,552	63,917
Health						
Medical services and benefits	41,957	44,768	47,199	48,101	49,186	50,578
Pharmaceutical benefits and services	21,414	23,318	24,636	24,885	25,310	24,840
Assistance to the states for public hospitals	30,217	33,925	37,498	40,508	43,743	47,205
Hospital services(a)	1,092	1,220	1,559	1,323	1,221	1,235
Health services	31,259	16,796	19,106	19,216	18,926	18,701
General administration	4,946	5,691	5,490	5,054	4,977	5,037
Aboriginal and Torres Strait Islander health	1,363	1,297	1,431	1,343	1,285	1,320
Total health	132,249	127,015	136,918	140,430	144,648	148,915

Table A.6.1: Estimates of expenses by function and sub-function (continued)

	Actual	Estimates				
	2024-25 \$m	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Social security and welfare						
Assistance to the aged	101,767	109,975	115,601	119,668	125,355	130,325
Assistance to veterans and dependants	22,016	13,431	11,366	12,374	14,093	14,405
Assistance to people with disabilities	86,338	93,358	98,143	98,768	100,942	103,356
Assistance to families with children	48,193	51,750	53,863	55,186	56,979	58,794
Assistance to the unemployed and the sick	16,728	17,641	18,304	17,864	17,662	18,069
Other welfare programs	1,703	1,801	1,853	2,198	2,197	2,205
Assistance for Indigenous Australians nec	3,031	3,938	3,540	3,446	3,169	3,121
General administration	5,704	5,912	6,067	5,655	4,805	4,722
Total social security and welfare	285,479	297,805	308,737	315,159	325,203	334,998
Housing and community amenities						
Housing	3,297	4,374	7,213	5,401	5,176	5,867
Urban and regional development	2,821	2,056	1,614	912	1,193	686
Environment protection	2,211	2,401	2,627	1,888	1,359	1,277
Total housing and community amenities	8,330	8,831	11,454	8,201	7,728	7,829
Recreation and culture						
Broadcasting	1,792	1,857	1,897	1,909	1,940	1,971
Arts and cultural heritage	2,531	2,329	2,344	2,325	2,278	2,309
Sport and recreation	809	939	1,229	1,402	1,396	1,490
National estate and parks	834	859	821	839	845	838
Total recreation and culture	5,966	5,984	6,292	6,475	6,459	6,608
Fuel and energy	14,954	19,160	15,207	17,586	16,723	17,256
Agriculture, forestry and fishing						
Wool industry	46	56	73	79	84	84
Grains industry	269	329	387	394	421	423
Dairy industry	60	59	58	57	57	57
Cattle, sheep and pig industry	261	314	326	311	301	289
Fishing, horticulture and other agriculture	521	613	551	487	401	403
General assistance not allocated to specific industries	46	53	65	50	51	52
Rural assistance	299	443	434	427	358	278
Natural resources development	849	1,299	1,336	742	446	338
General administration	1,449	1,550	1,518	1,485	1,496	1,517
Total agriculture, forestry and fishing	3,801	4,715	4,748	4,031	3,616	3,441

Table A.6.1: Estimates of expenses by function and sub-function (continued)

	Actual	Estimates				
	2024-25 \$m	2025-26 \$m	2026-27 \$m	2027-28 \$m	2028-29 \$m	2029-30 \$m
Mining, manufacturing and construction	4,937	5,358	5,563	5,895	5,309	5,624
Transport and communication						
Communication	1,723	1,223	1,268	1,042	967	949
Rail transport	4,245	5,031	2,708	2,536	2,922	3,922
Air transport	412	534	426	325	350	292
Road transport	8,957	9,138	9,935	10,525	10,004	7,246
Sea transport	499	646	654	589	593	548
Other transport and communication	407	357	348	304	282	260
Total transport and communication	16,244	16,928	15,338	15,321	15,118	13,217
Other economic affairs						
Tourism and area promotion	196	198	189	182	179	183
Vocational and industry training	2,113	2,476	1,873	1,653	1,681	1,674
Labour market assistance to job seekers and industry	2,268	2,559	2,817	2,688	2,720	2,698
Industrial relations	1,044	1,088	1,077	1,065	1,047	1,053
Immigration	3,758	4,536	3,993	3,313	3,246	3,300
Other economic affairs nec	3,516	3,811	3,825	3,647	3,437	3,438
Total other economic affairs	12,895	14,669	13,773	12,547	12,310	12,345
Other purposes						
Public debt interest	23,868	27,629	31,886	36,921	41,865	46,873
Nominal superannuation interest	14,250	14,803	15,884	16,336	16,708	17,092
General purpose inter-government transactions	99,937	107,887	111,062	118,998	124,964	130,674
Natural disaster relief	7,071	2,936	865	631	178	129
Contingency reserve	0	-4,045	3,925	10,552	13,640	22,434
Total other purposes	145,126	149,210	163,622	183,438	197,356	217,203
Total expenses	770,071	812,063	833,262	863,659	896,074	933,727

a) The hospital services sub-function predominantly reflects Commonwealth funding to the states and territories for veterans' hospital services.